

Pakistan's KSE-100 index crashed 6,500 points, or 6%, intra-day, on May 7. It fell further on May 8 as well, forcing the Pakistan Stock Exchange to halt trading briefly. In contrast, the Indian stock markets remained almost unaffected.

Global rating agency Moody's has warned that any sustained escalation between the two countries could severely undermine Pakistan's already fragile economic stability. That is significant considering the relative gulf in the sizes of the two economies. The International Monetary Fund's data shows that India's GDP stands close to \$4.2 trillion compared with a meagre size of Pakistan economy, which stands at nearly \$0.37 trillion.

Pakistan is already reeling from an economic crisis as it owed over \$131 billion to external lenders at the end of December 2024, according to economic database CEIC. It has borrowed around \$3 billion from the International Monetary Fund (IMF) in each of the previous two financial years.

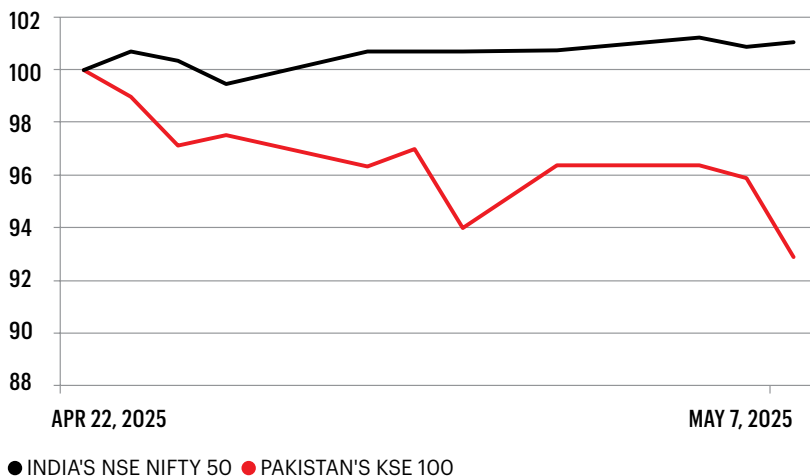
There is also no comparison between the military expenditures of the two sides. India's defence outlay sd at \$86.1 billion in 2024, making it the fifth-largest military spender globally, as per Stockholm International Peace Research Institute. On the other hand, Pakistan's expenditure sd at \$10.2 billion; it is not even in the top 25.

While India suspended the Indus Waters Treaty and Pakistan retaliated by halting bilateral trade and access to its airspace, analysts stress that India's economic exposure to Pakistan is negligible—less than 0.5% of India's exports in 2024.

"In a scenario of sustained escalation in localised tensions, we do not expect major disruptions to India's economic activity because it has minimal economic relations with Pakistan. However, higher defence spending would potentially weigh on India's fiscal strength

THE BENCHMARKS

PAKISTAN'S EQUITY MARKET HAS CORRECTED MORE THAN 7% SINCE PAHALGAM ATTACK ON APRIL 22



GRAPH NORMALISED TO THE BASE OF 100, SOURCE: ACE EQUITY, INVESTING.COM

and slow its fiscal consolidation," Moody's said in a report.

In terms of India's equity markets, Kotak Mutual Fund said in a report that short-term market swings during geopolitical events are unsettling, but history shows that they rarely derail India's long-term growth story. In the long term, macroeconomic factors and corporate earnings drive the stock market performance. The 30-share Sensex closed 0.13% higher on May 7 at 80,746. Likewise, the Nifty50 index ended the day at 24,414, up 0.14%.

Kotak MF added that it is difficult to predict market direction. However, the last major conflict, Kargil, in 1999, triggered temporary draw-downs before markets rebounded. Staying invested and avoiding knee-jerk decisions may be prudent for long-term wealth creation.

At the time of the Kargil conflict, the equity markets sd robust after an initial panic. After falling 8.3% one month before the Kargil war, the Nifty50 index advanced 36.6% during the war and 29.4% one year after the war, according to a Kotak

Mutual Fund report.

Abhishek Jaiswal, Fund Manager at Finavenue, says, "It's important to recognise that the likelihood of a full-scale war remains low. As long as such escalation is avoided, India's economic growth trajectory is unlikely to face any major setbacks. Political stability, strategic decisiveness, and national security assurance are valued by investors."

Anand Rathi said short-term volatility is always a possibility, but it added that it does not expect a structural impact on Indian equities. "The broader market narrative continues to be shaped by India's domestic macro strength, and not by its external fault lines," the brokerage said in a report.

Meanwhile, India and the UK clinched a 'landmark' trade deal that will remove taxes on the export of labour-intensive products, while making imports of whisky and cars from Britain cheaper. The BSE Auto index closed 1.74% higher at 51,788 on May 7. **BT**

@iamrahuloberoi